



Glycerine (Asia-Pacific)

By Helen Yan
18-Jan-2024

[Overview](#) | [Outlook](#) | [Prices](#) | [Upstream](#)

Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Downstream ECH market stable; glycerine spot offers up on margin squeeze**
- **Buyers seek Mar-Apr cargoes on expected post-Lunar New Year demand**
- **Market sentiment seems to be improving; traders in market to procure spot**

Asia's glycerine market seems to have bottomed out as buyers, including traders, were heard seeking to procure March-April cargoes.

The market saw enquiries picking up for March-April shipments in anticipation of a pick-up in demand after the Lunar New Year holidays.

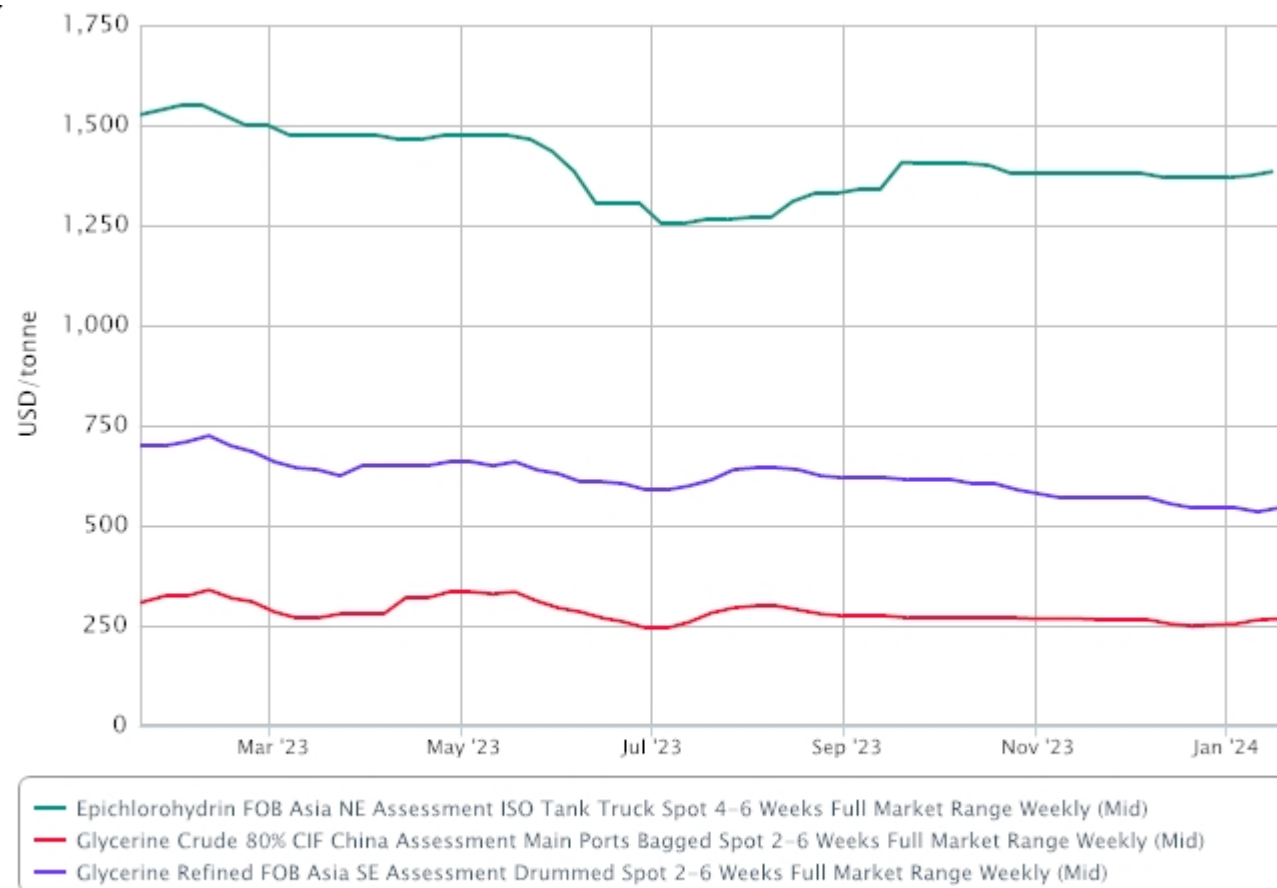
Lunar New Year, or the Spring Festival as it is also known in China, falls on 10 February this year. Market activities tend to wind down about a week or so prior to the week-long holidays in China.

Enquiries from the downstream epichlorohydrin (ECH) market were heard, prompting suppliers to revise spot offers higher on squeezed margins.

Oleochemical suppliers described the prevailing sluggish market conditions and were focused on achieving higher margins in the glycerine market to compensate for the slump in the other oleochemicals markets.

While there were concerns over the spike in container freight rates amid the missile attacks on commercial vessels in the Red Sea, the impact on container freight rates in intra-regional Asia trades there was relatively lower.

Suppliers were mostly focusing on intra-regional trades in Asia.



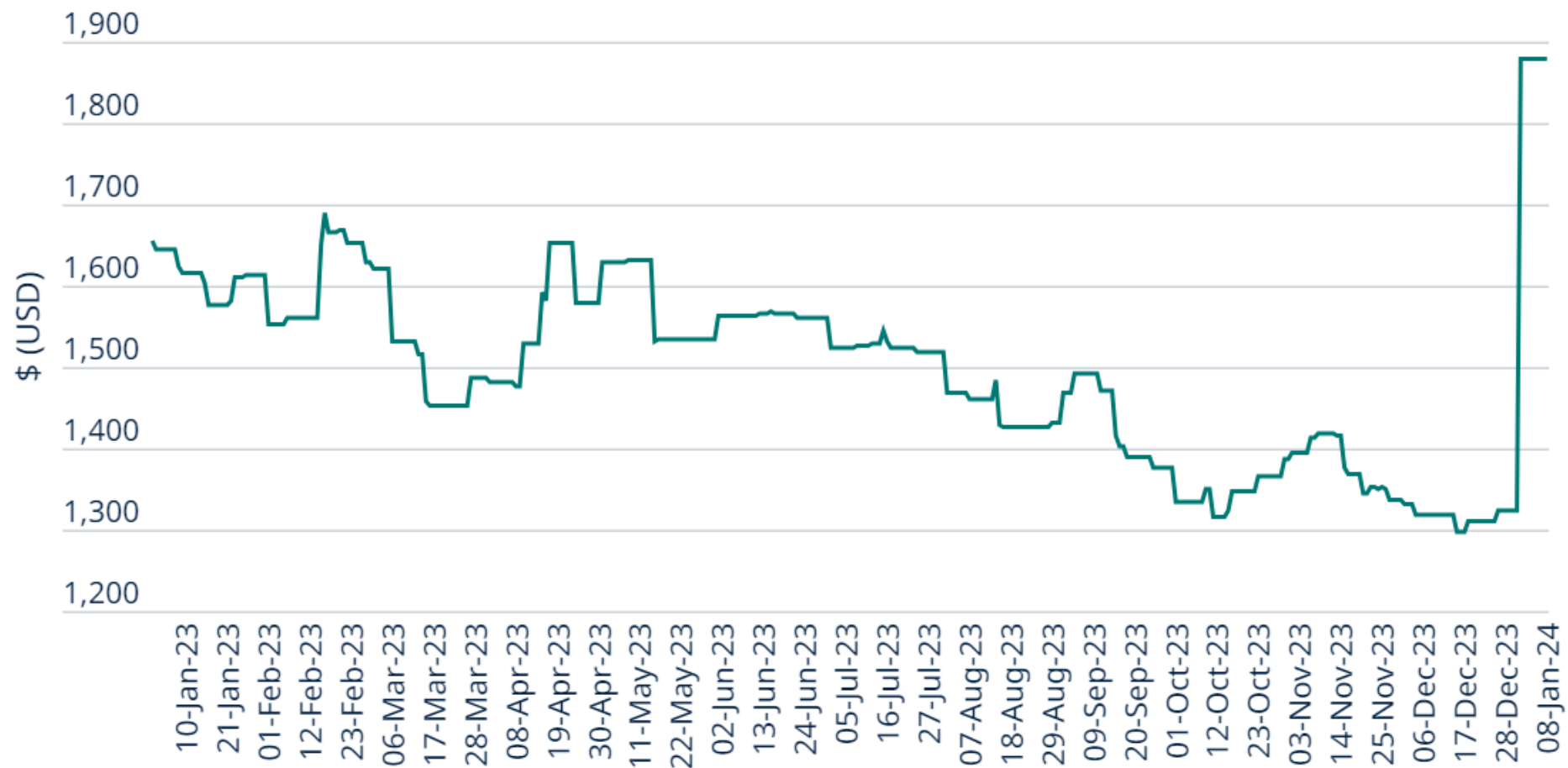
© 2024 ICIS

OUTLOOK

- **Concerns on surge in container freight rates amid Red Sea missile attacks**
- **Demand in Asia may pick up after Lunar New Year holidays on restocking**
- **Uncertain outlook; volatility in crude WTI, upstream oil palm complex**

Southeast Asia to UAE shipping

20ft Dry Cargo weekly container freight rates (short contract type, terminal handling charges at both ports)



PRICES

SPOT PRICES

	Price Range	Four Weeks Ago	US CTS/lb
Glycerine Crude 80%			

CIF China Main Ports Bagged	USD/tonne	+5	265-270	n/c	245-255	12.02-12.25
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	+10	530-620	+10	530-620	24.04-28.12
CFR China Drummed	USD/tonne	+10	530-620	+10	530-620	24.04-28.12
FOB SE Asia Drummed	USD/tonne	+10	510-580	+10	510-580	23.13-26.31

Refined glycerine

Spot prices were assessed up on higher offers and to reflect current discussions and trades done for February-March shipments.

Enquiries from end-users and traders picked up in anticipation of a post-Lunar New Year holiday rebound.

Several countries in Asia, including China, Indonesia, Malaysia, Singapore, South Korea and Vietnam celebrate the Lunar New Year.

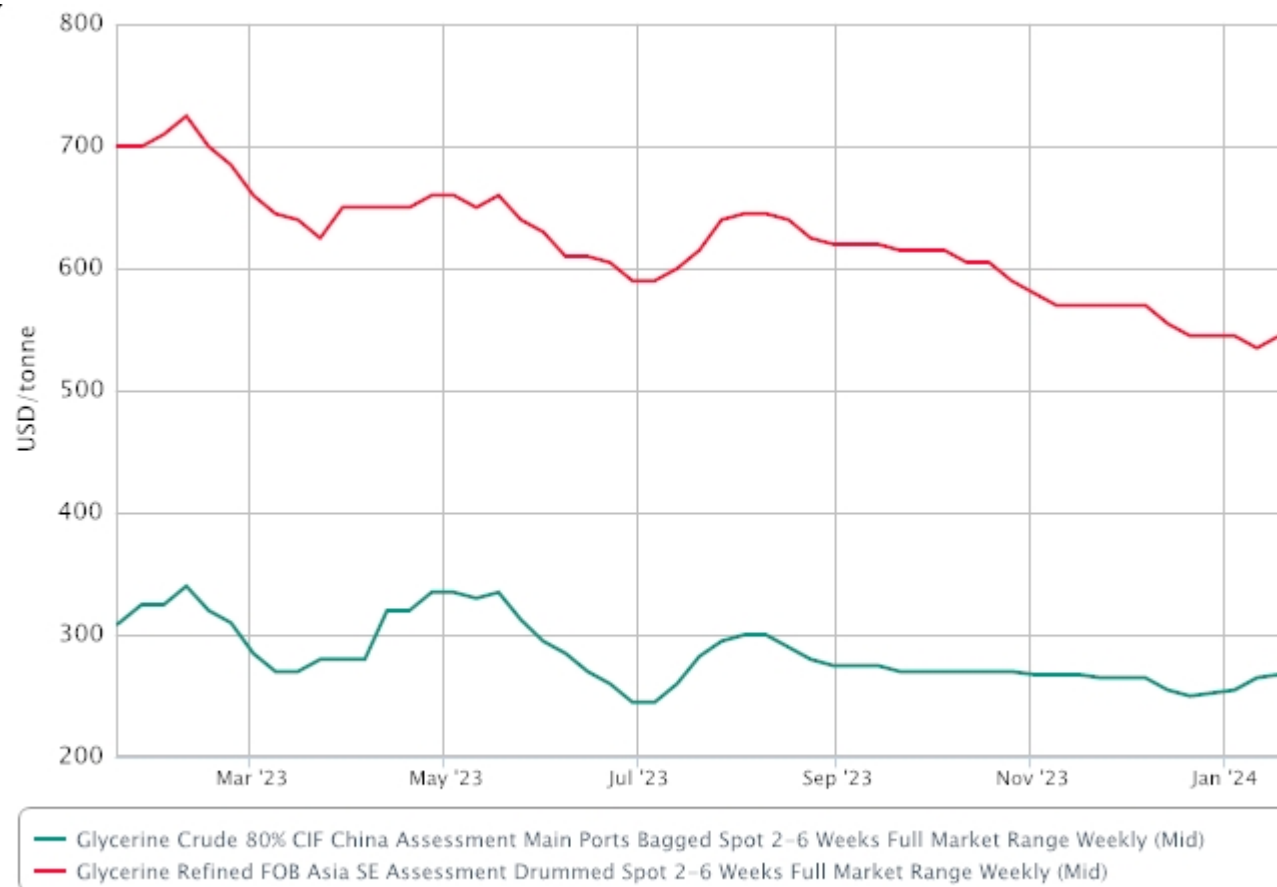
Market activities tend to wind down ahead of the week-long holidays in China, a key market.

Downstream ECH makers were heard seeking to procure spot volumes for February and March requirements, with discussions heard to be ongoing.

Cargoes in flexibags were heard to have been discussed or sold at around \$460/tonne FOB SE Asia to China. Bids below this level were rejected.

With drum costs at \$100-140/tonne FOB SE Asia, hard-pressed suppliers hiked their offers for drummed shipments to \$580-630/tonne FOB SE Asia for the downstream food and home personal care sectors.

However, downstream industrial ECH makers were resistant to any significant price hikes, with buying indications no higher than \$510/tonne FOB SE Asia for drummed product.



© 2024 ICIS

Crude glycerine

Spot prices were assessed as stable to firm at \$265-270/tonne CIF China to reflect the trades and discussions for March shipments from Brazil.

There had been enquiries for March shipments as traders and buyers sought to replenish their stocks after the Lunar New Year holidays.

Demand is expected to pick up after the week-long holidays on restocking activities, with some end-users and importers quickly locking in March shipments in anticipation of further price hikes.

China imports a substantial amount of crude glycerine from Brazil, given its lower costs and availability.

Product from Brazil takes about five to eight weeks to be shipped to China.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Crude glycerine from southeast Asia is typically at a higher 85% purity level. Its duty-free status and quick delivery time of about a week allows it to command a premium.

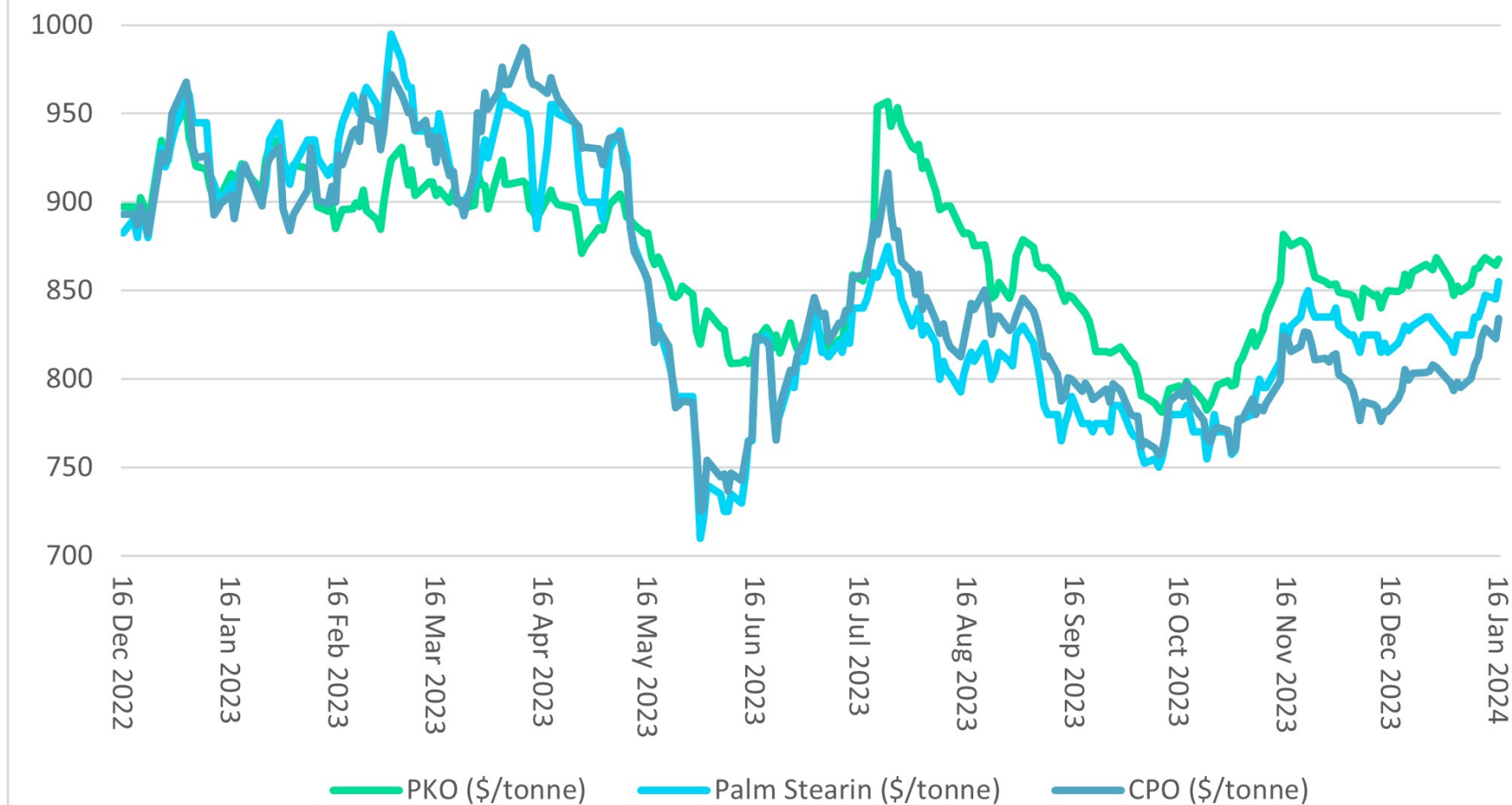
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	16 Jan	9 Jan
CPO	DEL, south Malaysia (M\$)	3,910.00	3,750.00
PKO	DEL, south Malaysia (\$)	867.74	862.23
Palm Olein	FOB, Malaysia (\$)	872.50	840.00
Palm Stearin	FOB, Malaysia (\$)	855.00	835.00

PFAD	FOB, Malaysia (\$)	725.00	715.00
------	--------------------	--------	--------

All prices are on a per tonne basis.

Source: Matthes & Porton

Glycerine (Asia-Pacific) | 18-Jan-2024. ICIS accepts no liability for commercial decisions based on the content of this report. Unauthorised reproduction, onward transmission or copying of the Glycerine (Asia-Pacific) Report in either its electronic or hard copy format is illegal. Should you require a licence or an additional copy of the Glycerine (Asia-Pacific) Report, please contact ICIS at sales.uk@icis.com

ICIS, Quadrant House, The Quadrant, Sutton, Surrey, SM2 5AS. United Kingdom. ICIS accept no liability for commercial decisions based on the content of this report. Copyright violation is a serious offence. Any distribution or forwarding of information that is not expressly permitted by your subscription agreement is a copyright violation. ICIS uses software to monitor unauthorised electronic redistribution of reports.

© 2024 Reed Business Information Limited. ICIS is a member of RELX Group. www.icis.com

